AOU
الجامعة العربية المفتوحة
Arab Open University

# Faculty of Business Studies

## B291

### Financial Accounting

## Final Examination

## 2024-2025 / Spring Semester

**Version A**

**12-June-2025**

| Number of Exam Pages: 6 (including this cover sheet) | Time Allowed: 3 Hours |
|---|---|

## Instructions:

- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
- This is a **CLOSED** book examination. NO documents of any kind are allowed.
- You **MUST** answer the questions using only the answer booklets provided.
- You **MUST** return the examination paper together with your answer booklets.
- Do **NOT** write your answers in pencil except for graphs/sketches.
- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examinat
- Students are allowed to use ***non-programmable*** calculators only (if needed).
- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.



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**Question 1: (40 Marks)**

a. Accounting errors can occur due to human mistakes, misapplication of accounting principles, or other oversight issues. Accounting errors can affect the accuracy of financial statements, leading to incorrect reporting and potentially impacting decision-making and financial analysis. List and briefly explain the different types of errors that are not revealed by the unadjusted trial balance. Give examples.

**(10 marks)**

b. Adam owns a small business selling home electronics. Below is the company's unadjusted trial balance dated December 31, 2024.

**Trial Balance**

| Account Name | Debit $ | Credit $ |
|---|---|---|
| Sales | | 1,280,000 |
| Sales Return | 34,000 | |
| Opening inventory | 192,000 | |
| Purchases | 504,000 | |
| Purchases return | | 64,000 |
| Non-Current assets at cost: | | |
| Freehold property | 300,000 | |
| Equipment | 96,000 | |
| Motor Vehicles | 56,000 | |
| Accumulated depreciation on: | | |
| Equipment | | 24,000 |
| Motor vehicles | | 20,000 |
| Salaries and wages | 28,000 | |
| Insurance | 12,000 | |
| Advertising expenses | 18,000 | |
| Motor expenses | 6,000 | |
| Loan interest | 16,000 | |
| Receivables | 144,000 | |
| Allowances for receivables | | 8,000 |
| Payables | | 112,000 |
| Cash at bank | 622,000 | |
| Bank loan | | 200,000 |
| Capital | | 320,000 |
| | | |
| | **2,028,000** | **2,028,000** |

**Additional information is provided for use in preparing the company's adjustments:**

1. Closing inventory is valued at $130,000.
2. Equipment is depreciated by 25% on a straight-line basis.



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3. Motor vehicles are depreciated by 30% on a reducing balance basis.
4. Accrued wages at the end of 2024 amount to $5,200.
5. On 1st April 2024 Adam paid $6,000 for insurance which was valid until 31st March 2025.
6. Irrecoverable receivables of $3,200 need to be written off.
7. Adam decides to increase allowances for receivables to $10,000.
8. Adam has taken goods worth $30,000 for his own use.

**Required:**

1. Prepare Adam's income statement for the year ending December 31st, 2024.
2. Prepare Adam's balance sheet as at December 31st, 2024.

**[15 + 15 = 30 marks]**

**Question 2: (30 Marks)**

a. Ahmed operates a business as a sole trader. Ahmed prepared his financial statements for the year ended 31st December 2024. He then remembered that he had not yet prepared a bank reconciliation statement as at 31st December 2024.

Comparing the cash book with the bank statement he found the following discrepancies.

1. Bank charges $600 appeared on the bank statement as having been deducted on 31st December.
2. A cheque for $15,000 from credit customer Mr. Ali had been entered in the cash book but not yet cleared by the bank.
3. Ahmed had mistakenly paid for the private dinner costing $600 with the business debit card. There was no entry in the cash book.
4. A cheque for $18,000 from credit customer paid on December 27 was dishonored on 31st December and Ahmed decided to write off the amount as an irrecoverable receivable.
5. On 30th December interest received on the business deposit account of $7,500 had been credited to the business current account accordance with Ahmed's instructions but this amount had not yet been entered in the cash book.
6. Cheques for the total of $72,600 to suppliers sara entered into the cash book on 31st December had not yet appeared on the bank statement.

he cash book showed a debit balance of $46,200 before any correcting entries and the balance s per the bank statement was $92,100.

equired:

1. Calculate the adjusted closing balance in the cash book.
2. Prepare a bank reconciliation statement as at 31st December 2024, starting with the unadjusted closing balance as per the cash book.

**[7 + 8 = 15 marks]**



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b. The income statement and a partial balance sheet for Beta Company are presented below.

| Beta Company<br>Partial Balance Sheet<br>As at December 31st, 2024 | | |
|---|---|---|
| | **2024** | **2023** |
| Cash | $40,000 | $35,000 |
| Accounts Receivable | 6,000 | 2,000 |
| Inventories | 5,000 | 3,000 |
| Prepaid Expenses | 5,000 | 8,500 |
| Accounts Payable | 9,500 | 12,500 |
| Salaries Payable | 9,300 | 5,500 |
| Accrued Electricity bill | 4,000 | 2,000 |

| Beta Company<br>Income statement<br>For the year ended December 31st,2024 | | |
|---|---|---|
| Sales | | $300,000 |
| Cost of goods sold | | 166,000 |
| **Gross profit** | | **134,000** |
| Operating expenses: | | |
| Salaries | $30,000 | |
| Depreciation Expenses | 28,000 | |
| Utility expenses | 30,000 | 88,000 |
| **Net Income** | | **$46,000** |

**Required:** Prepare the operating activities section of the Statement of Cash Flows using indirect method.

**(15 Marks)**

**Question 3 (30 marks)**



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a. Blue Sky Plc. is a manufacturer of computer accessories. The following are selected items appearing in the income statement and balance sheet for the year ended December 31st, 2024.

| Income Statement | |
|---|---|
| Sales revenue | 160,680 |
| Less: Cost of Goods Sold | (53,400) |
| **Gross Profit** | **107,280** |
| Less: Administration expenses | (5,000) |
| Distribution expenses | (6,170) |
| **Net Operating profit** | **96,110** |
| Less: Interest expenses | ((7,500) |
| **Profit before tax** | **88,610** |
| Less: Taxation | (35,000) |
| **Net Profit** | **53,610** |

| Balance Sheet | |
|---|---|
| Net PPE | 750,040 |
| Intangible assets | 35,070 |
| Total Non-current assets | 785,110 |
| Inventory | 56,050 |
| Receivables | 16,900 |
| Cash and cash equivalents | 3,570 |
| Total Current assets | 76,520 |
| **Total Assets** | **861,630** |
| Equity | 750,780 |
| Non-current liabilities | 50,000 |
| Current liabilities | 105,850 |
| **Total Equity and Liabilities** | **861,630** |
| | |

**Required:**

Using the information above, compute the Company's ratio below and comment on each:

a. Asset turnover
b. Current ratio
c. Debt ratio
d. Inventory Turnover
e. Gearing ratio

**(15 marks)**



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b. The balance sheet of Beta Plc. Shows the following information in its assets and liability and equity section:

| **Assets** | $ |
|---|---|
| Non-current assets | 320,000 |
| Current assets | 510,000 |
| ***Total Assets*** | ***830,000*** |
| | |
| **Liabilities and Equity** | |
| Total Liabilities | 50,000 |
| Equity: | |
| Share capital: ordinary shares of $ 3.5 each | 175,000 |
| Reserves: Share premium | 180,000 |
| Reserves: Retained earnings | 425,000 |
| ***Total Liabilities and Equity*** | ***830,000*** |
| | |

Beta Plc. Needs to raise more cash and decided to make 1 for 4 rights issue, fully paid in cash at a price $8.50 per share.

**Required:**

Show by using detailed workings the effect on the balance sheet accounts of the rights issue.

**(15 marks)**

**End of Questions**



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